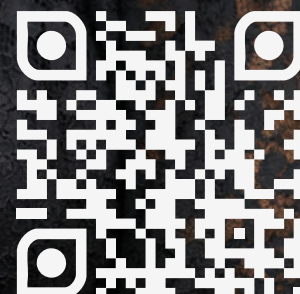


FUNERAL ASSURANCE SECTOR REPORT

FOR THE YEAR ENDED 31 DECEMBER 2023



Email: enquiry@ipec.co.zw

Protecting the Interests of Insurance and Pension Consumers

Disclaimer

- i. This report, including any enclosures and attachments, has been prepared by the Insurance and Pensions Commission (IPEC), solely for informative purposes to the insurance sector stakeholders.
- ii. The report may not be reproduced, redistributed, communicated to a third party, or relied upon by any other person for any other purpose without the Commission's prior written consent. The Commission does not accept any liability if this report is used for any other purposes other than the above-mentioned intended purpose.
- iii. This report relates to the Funeral Assurance business written by Funeral Assurers only and does not relate to the Funeral Assurance business written by Life Assurers. The Funeral Assurance business generated by Life Assurers is reported in the Life Assurance Report.
- iv. Growth referred to in this report is nominal growth, unless stated otherwise.
- v. These statistics are based on the International Financial Reporting Standard (IFRS) 17 - Insurance Contracts, which became effective January 2023. However, for the local Insurance Industry, a moratorium was given for submission of IFRS 4 returns for Q1, Q2, and Q3. IFRS 17 compliant returns were, therefore, effective Q4 2023. As a result, the current statistics for the fourth quarter ending 31 December 2023 were not compared with prior periods due to different accounting standards.
- vi. Please Note: All Monetary Figures are in ZW\$ except where stated.
- vii. Income statement figures were adjusted using year-on-year inflation of 26.5% reported for December 2023. Source:
<https://www.rbz.co.zw/index.php/research/markets/inflation>
- viii. Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

Table of Contents

SECTION A: EXECUTIVE SUMMARY	5
SECTION B: ABOUT THE COMMISSION.....	8
SECTION C: ECONOMIC DEVELOPMENT.....	11
SECTION D: PERFORMANCE OF FUNERAL ASSURANCE COMPANIES	13
SECTION E: REGULATORY DEVELOPMENTS	24
SECTION F: COMPLAINTS HANDLING AND CONCLUSION	27
SECTION G: APPENDIX.....	29

Abbreviations

IPEC	Insurance and Pensions Commission
IFRS 17	International Financial Reporting Standard (IFRS) 17
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]
S.I.	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrating Capital and Risk Program
PAA	Premium Allocation Approach

Definition of Terms

Absolute ZW\$	Business written solely in local currency.
Consolidated ZW\$	Total business written combining the absolute local currency business and foreign currency denominated business.



Section A

EXECUTIVE SUMMARY

1 Executive Summary

- 1.1 For the year ended 31 December 2023, there were eight (8) registered Funeral Assurance companies in Zimbabwe, out of which seven (7) were operational.
- 1.2 Out of the seven operating funeral assurance companies, only six submitted their fourth-quarter returns for the year ending 31 December 2023. The six companies are Sunset, First Funeral, Moonlight, Vineyard, Foundation Mutual Society, and Ruvimbo Funeral Assurance. Orchid Funeral did not submit their 2023 Q4 returns, and the Commission penalized the assurer for non-compliance.
- 1.3 The nominal consolidated Insurance Revenue by the Funeral Assurance sector for the year under review amounted to ZW\$16.8 billion, equivalent to US\$2.8 million.
- 1.4 In terms of foreign currency business, the sector recorded pure foreign currency denominated insurance revenue of US\$2.6 million and pure local currency insurance revenue of ZW\$1.2 billion.
- 1.5 As at 31 December 2023, all six (6) Funeral Assurers were compliant with the Minimum Capital Requirement (MCR) of ZW\$62.50 million, as prescribed in Statutory Instrument 59 of 2020. In terms of the proposed US\$-indexed MCR, only four entities were compliant with the Minimum Capital Requirement of US\$500,000.
- 1.6 The total assets for the Funeral Assurance sector amounted to ZW\$280 billion, equivalent to US\$45.9 million.
- 1.7 All six Funeral Assurers were non-compliant with the minimum Prescribed Asset requirements of 10% as at 31 December 2023, recording an average ratio of 0%. This persistent non-compliance remains a major concern for the Commission, despite industry commitments to developing suitable prescribed-asset investment options for the Funeral Assurance sector.
- 1.8 Total liabilities were recorded at ZW\$72 billion, equivalent to US\$11.7 million as at 31 December 2023.

- 1.9 Moonlight Funeral Assurance and First Funeral Assurance dominated the sector, accounting for 38% of total insurance revenue respectively, thereby indicating a highly concentrated market structure. The remaining four entities collectively contributed only 24%, a distribution that necessitates continued supervisory attention to ensure competitive equity, mitigate concentration risk, and safeguard policyholder interests.
- 1.10 None of the six (6) Funeral Assurers had reinsurance arrangements in place during the period under review.



Section B

ABOUT THE COMMISSION

2 Introduction

- 2.1 The Insurance and Pensions Commission (IPEC) is a Statutory Body, mandated with regulating, supervising, and developing the Insurance and Pensions Industry for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2 This report outlines the Funeral Assurance sector developments and IPEC's various activities in the sector consistent with its statutory mandate during the year ended 31 December 2023.

Terms of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

- 2.3 Insurance and Pensions Commission Act [*Chapter 24:21*];
- 2.4 Pension and Provident Funds Act [*Chapter 24:32*];
- 2.5 Insurance Act [*Chapter 24:07*];
- 2.6 Money Laundering and Proceeds of Crime Act [*Chapter 09:24*];
- 2.7 Finance Act [*Chapter 23:04*];
- 2.8 Public Entities and Corporate Governance Act [*Chapter 10:31*];
- 2.9 Public Finance Management Act [*Chapter 22:19*]; and
- 2.10 Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]



Section C | ECONOMIC OVERVIEW

3 Economic Overview

3.1 Introduction

During the year 2023, the following key macroeconomic information was analysed:

3.2 Global and Regional Economic Outlook

According to the IMF, global economic growth for 2023 was projected at 3%, reflecting a downward revision driven by the tightening of global monetary conditions in response to persistent inflation. Growth in advanced economies was expected to slow to 1.5% in 2023 from 2.6% in 2022, while emerging markets and developing economies were projected to moderate slightly to 4% from 4.1%, largely due to weaker performance in China. Sub-Saharan Africa's growth was likewise anticipated to decline to 3.3% in 2023 from 4% in 2022.

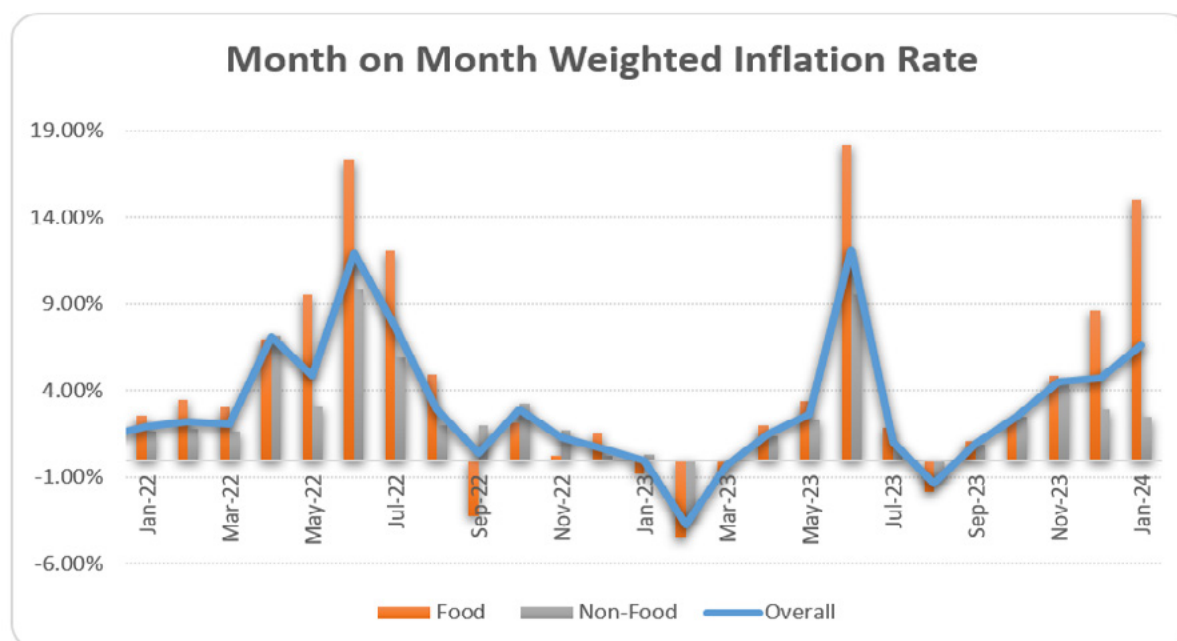
3.3 Domestic Economic Outlook

According to the Ministry of Finance, Economic Development and Investment Promotion, the domestic economy was expected to grow by 5.5% in 2023, a slight increase from the 5.3% projected in August, owing to higher-than-expected agricultural output, particularly tobacco, wheat, and cotton. Mining (+7.6%) and accommodation and food services (+6.9%) would drive the 3.5% growth in 2024, while agriculture is expected to contract by -4.9 %.

3.4 Inflation Developments

In the outlook, annual inflation was on a decline trend closing the year 2023 at 26%. The highest monthly inflation rate for the period was 12.1%, recorded in June 2023, whereas the lowest inflation rate was -1.3% recorded in August 2023.

The table below shows the inflation trend from 2022 to January 2024.

Figure 1: Inflation Profile (%) Jan 2022 to Jan 2024

Source: RBZ

3.5 Stock Market Development

The ZSE recorded a total market turnover of ZW\$109 billion as at year-ended 2023, a 295% increase from the previous year. Compared to the same period in year 2022, the market turnover recorded a 58% jump from ZW\$17.5 billion in 2021 to ZW\$27.8 billion in 2022. The market capitalisation gained 722% from ZW\$2.04 trillion in December 2022, to close the year at ZW\$16.8 trillion. The Zimbabwe Stock Exchange All Share Index gained 982% from 19,494.85 points in 2022 to close at 210,833.92 points in 2023.

3.6 Victoria Falls Stock Exchange Market

The VFEX All Share index fell 41% at the end of the year 2023, closing at 70.48 points, down from 99.07 points in December 2022. The VFEX market capitalization gained 113% from the previous year to close at US\$1.2 billion.



Section D

PERFORMANCE OF FUNERAL ASSURANCE COMPANIES

4 Performance in Terms of Business Written

- 4.1 The Funeral Assurance sector recorded nominal consolidated Insurance Revenue of ZW\$16.8 billion equivalents to US\$2.8 million, for the year ended 31 December 2023.
- 4.2 In terms of foreign currency denominated business, the sector recorded pure US\$ Insurance Revenue amounting to US\$2.6 million, and pure ZW\$1.2 billion was business underwritten.
- 4.3 A detailed breakdown of the consolidated Insurance Revenue per funeral assurer is shown in Table 1 below.

Table 1: Consolidated Insurance Revenue Per Company (ZW\$ 000)

Name of Company	December-23	December 23 Inflation Adjusted
Sunset	502,762.34	397,440.58
Foundation Mutual	1,459,219.36	1,153,533.09
First Funeral	6,315,592.83	4,992,563.50
Vineyard	2,153,849.53	1,702,647.85
Moonlight	6,407,372.10	5,065,116.29
Ruvimbo	1,382.01	1,092.50
Total	16,840,178.17	13,312,393.81

5 Capitalisation

- 5.1 As at 31 December 2023, all six (6) funeral assurers were compliant with the regulatory Minimum Capital Requirement (MCR) of ZW\$62.50 million as required by Statutory Instrument 59 of 2020. Meanwhile, the Commission awaits gazetting of the approved United States Dollar-indexed Minimum Capital Requirements.
- 5.2 Below are the reported capital positions for funeral assurers.

Table 2: Capitalisation Levels as at 31 December 2023.

Name of Company	Capital Position (ZW\$) 31-Dec-23 (ZW\$62.5 million)	Capital Position (US\$ Indexed) (US\$500,000.00)
Sunset	2,585,754,929.09	423,566.51
First Funeral	15,668,664,426.36	2,066,647.52
Foundation Mutual	6,830,318,000.00	1,118,858.52
Moonlight	180,153,323,555.36	29,510,497.38
Vineyard	3,262,060,717.83	534,350.59
Ruvimbo	2,097,676.00	343.62

Key

	Capitalised
	Undercapitalised

- 5.3 Based on the submitted returns, the ZW\$ compliance level with the minimum capital requirement was 100%.
- 5.4 However, only four entities were compliant with the proposed US\$ indexed Minimum Capital Requirement of US\$500,000.00; Sunset and Ruvimbo Funeral were not compliant with the US\$ MCR.
- 5.5 All regulated funeral assurers were reminded to comply with the risk-based capital regime under the auspices of the Zimbabwe Integrating Risk and Capital Programme (ZICARP).

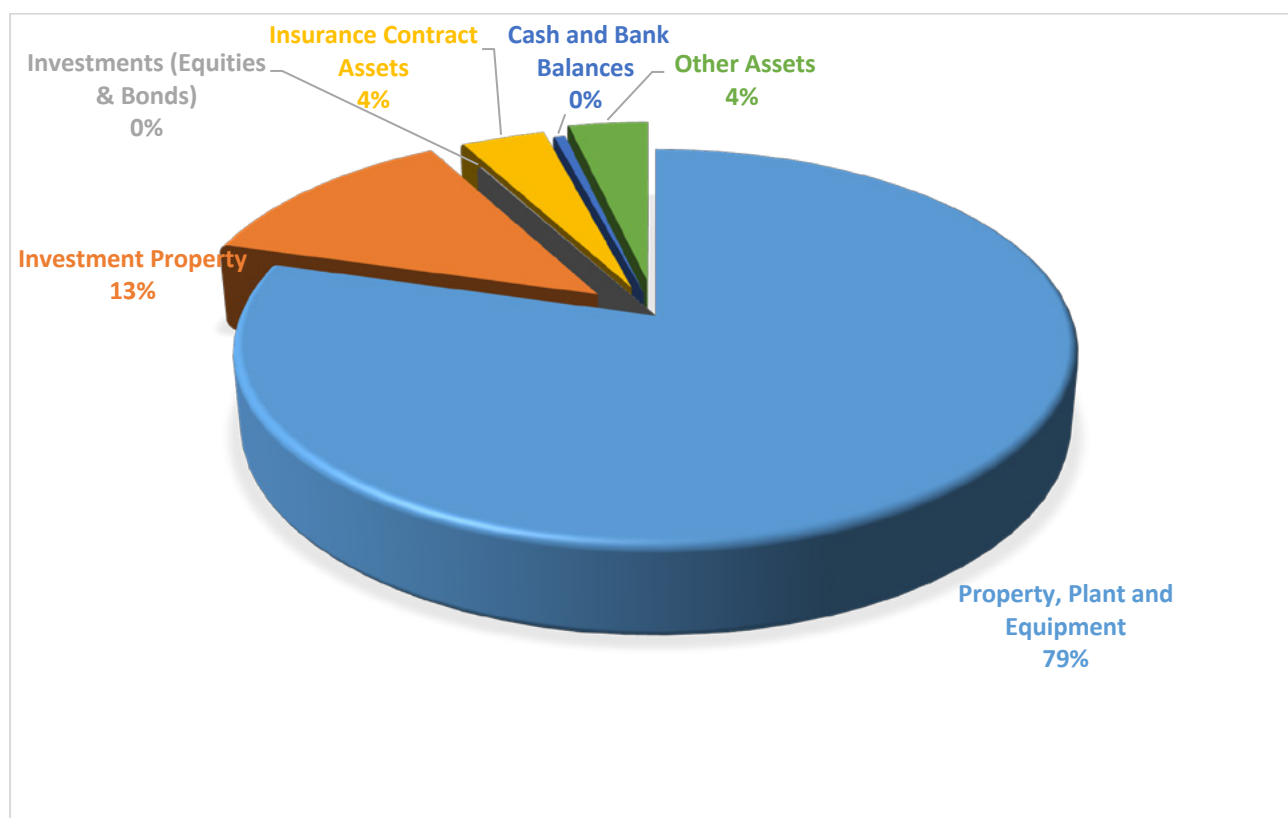
6 Asset Quality

- 6.1 Total assets for the sector amounted to ZW\$280 billion, equivalent to US\$45.9 million, with the asset base remaining heavily concentrated in non-current assets, which accounted for 79.46% of total assets.
- 6.2 While the Commission takes note of the large concentration of property, plant and equipment, given the need to provide funeral services, the sector is encouraged to invest in other asset classes that aid in the provision of commensurate cash benefits, given the high number of multiple policies the sector has underwritten.

6.3 Funeral underwriters are reminded of the need to uphold policyholder rights to exercise an option to either receive cash or funeral services at the claim stage, as outlined in section 58 (3) (a) of the Insurance Act [Chapter 24:07] and the paragraph 5 of the Funeral Directive.

6.4 The distribution of assets for the Funeral Assurance sector is shown in Figure 2 below.

Figure 2: Breakdown of Assets as at 31 December 2023



6.5 As at 31 December 2023, all Funeral Assurers were non-compliant with the minimum Prescribed Asset ratio of 10%, as stipulated by Statutory Instrument 206 of 2019.

6.6 The Commission is concerned by the continued non-compliance levels with prescribed asset requirements.

- 6.7 The total investments in prescribed assets by Funeral Assurers amounted to ZW\$250,000.00 against total assets of ZW\$280 billion translating in a compliance level of 0%.
- 6.8 The Commission hereby directs the industry to prioritise the development of sector-specific, bankable projects that are clearly aligned with the needs and realities of the insurance sector, for possible conferment of Prescribed Asset status. This approach is intended to enhance meaningful compliance and developmental impact, rather than the continued submission of implementation roadmaps that do not materialise into tangible projects.
- 6.9 Table 3 below shows the compliance levels with Prescribed Assets for each Funeral Assurance player.

Table 3: Prescribed Assets (PA) Levels as at 31 December 2023

Name of Company	Prescribed Assets - ZW\$ 000	Total Assets - ZW\$ 000	Prescribed Asset Ratio
Sunset	-	2,730,997.99	0.00%
Foundation Mutual	-	13,832,002.00	0.00%
First Funeral	-	35,135,415.46	0.00%
Vineyard	250.00	9,954,622.16	0.00%
Moonlight	-	218,449,299.73	0.00%
Ruvimbo	-	3,788.92	0.00%

Key Performance Indicators

Table 4 below shows the key performance indicators for the sector.

Table 4: Key Performance Indicators

	Sunset	Foundation Mutual	First Funeral	Vineyard	Moonlight	Ruvimbo	Total/Average
Capital Adequacy							
Capital Position (ZW\$ 000)	2,585,755	6,830,318	15,668,664	3,262,061	180,153,324	2,098	208,502,219
Capital Maintenance Ratio (CMR)	4137.21%	10928.51%	25069.86%	5219.30%	288245.32%	3.36%	47657.65%
Shareholder Equity/Total Assets Ratio	94.68%	49.38%	44.60%	32.77%	82.47%	55.36%	74.44%
Asset Quality							
Total Assets (ZW\$ 000)	2,730,998	13,832,002	35,135,415	9,954,622	218,449,300	3,789	280,106,126
Investments to Assets	89.31%	14.08%	60.94%	12.77%	4.44%	52.53%	13.12%
Fixed Assets/Total Assets	9.50%	82.77%	13.03%	65.32%	91.45%	37.56%	79.46%
Prescribed Assets Ratio	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Actuarial							
Insurance Contracts Issued Assets (ZW\$ 000)	31,034	-	8,893,921	809,932	873,677	290	10,608,854
Reinsurance Contract Held Assets (ZW\$ 000)	-	-	-	-	-	-	-
Insurance Contracts Issued Liabilities (ZW\$ 000)	-	6,340,740	19,282,315	4,265,164	- 35,895,790	-	- 6,007,572
Reinsurance Contracts Held Liabilities (ZW\$ 000)	-	-	-	-	-	-	-

Earnings							
Insurance Revenue (ZW\$ 000)	502,762	1,459,219	6,315,593	2,153,850	6,407,372	1,382	16,840,178
Insurance Service Result (ZW\$ 000)	410,429	1,096,626	- 4,866,208	- 2,291,194	2,940,152	- 7,652	- 2,717,847
Profit After Tax (ZW\$ 000)	- 100,218	- 4,144,913	- 6,142,658	- 825,028	- 34,567,907	- 9,245	- 45,789,970
Return on Equity	-3.88%	-60.68%	-39.20%	-25.29%	-19.19%	-440.74%	-21.96%
Return on Assets	-3.67%	-29.97%	-17.48%	-8.29%	-15.82%	-244.01%	-16.35%
Expense Ratio	5.42%	17.32%	69.52%	13.92%	11.33%	259.28%	33.85%
Loss Ratio	12.94%	7.53%	107.53%	192.45%	42.78%	394.40%	82.29%
Combined Ratio	18.37%	24.85%	177.05%	206.38%	54.11%	653.68%	116.14%
Net Investment Income (ZW\$ 000)	73,902	- 4,069,758	1,043,343	1,050,551	- 27,037,006	- 1,716	- 28,940,684
Underwriting Margin	81.63%	75.15%	-77.05%	-106.38%	45.89%	-553.68%	-16.14%
Liquidity							
Working Capital (ZW\$ 000)	- 103,684.34	- 6,541,763.00	- 10,028,676.96	-3,474,200.89	-3,301,183.14	- 471.12	- 23,449,979.45
Current ratio	28.02%	6.57%	48.41%	40.27%	73.13%	44.54%	47.52%
Market Shares							
Market Share Based on Insurance Revenue	2.99%	8.67%	37.50%	12.79%	38.05%	0.01%	100.00%
Market Share Based on Total Assets	0.97%	4.94%	12.54%	3.55%	77.99%	0.00%	100.00%

- 6.10 The industry remains strongly capitalised, with an average Capital Maintenance Ratio (CMR) of 47,657.65%, significantly above minimum regulatory requirements. The average Shareholder Equity to Total Assets ratio stands at 74.44%, indicating that assets are largely equity funded.
- 6.11 However, capital strength is not translating into profitability or liquidity resilience.
- 6.12 The industry asset base is heavily concentrated in fixed assets, limiting liquidity flexibility and investment income generation capacity. There is full non-compliance with prescribed asset requirements.
- 6.13 Insurance contract assets total ZW\$10.6 billion, while insurance contract liabilities remain significant.
- 6.14 Limited reinsurance utilisation suggests minimal risk transfer within the sector, increasing exposure to underwriting volatility.
- 6.15 The combined ratio above 100% indicates that underwriting operations are loss-making at the industry level. Investment losses further exacerbated the negative performance.
- 6.16 Liquidity levels are below prudent benchmarks, raising concerns around short-term claims-paying ability.

7 Reassurance

- 7.1 None of the five (5) Funeral Assurers had reinsurance arrangements in place during the year ended 31 December 2023.
- 7.2 The Commission encourages the Funeral Assurance players to engage reinsurance providers to enhance risk management and develop new and innovative products in the provision of reasonable benefits and to increase insurance penetration.
- 7.3 Where possible, the sector is urged to consider reinsurance as a prudent risk management practice in the event of catastrophes.

Technical Position

- 7.4 Insurance contracts liabilities as at 31 December 2023 amounted to ZW\$36 billion equivalent to negative US\$5.9 million.
- 7.5 The technical liabilities comprise of the best estimate liability, risk adjustment, and contractual service margin.

8 Earnings

- 8.1 For the period under review, Funeral Assurers reported a combined Insurance service result of negative ZW\$2.7 billion. Other expenditures, which were not directly attributable to insurance contracts, amounted to negative ZW\$381 billion.
- 8.2 The Funeral Assurance sector average combined ratio was 116.14% reported as at 31 December 2023. The combined ratio and other ratios that relate to the underwriting losses for the sector are shown in Table 4 above.
- 8.3 Profit before and after tax for the period under review was negative ZW\$45.6 billion and negative ZW\$45.8 billion, respectively.
- 8.4 The funeral industry recorded an average expense ratio of 33.85%, indicating that a large portion of the premium dollar has been allocated towards insurance service expenses other than the incurred claims.
- 8.5 It is important for all sector players to continuously monitor their expenses so that they are sustainable.
- 8.6 The industry's average return on assets (ROA) and return on equity (ROE) were -4.64% and -8.51%, respectively, for the period under review as shown in Table 4 above, reflecting subdued profitability and continued pressure on both asset utilisation efficiency and shareholder value generation. These figures are of concern; the Commission encourages industry to implement cost management strategies and explore profitable insurance business strategies.

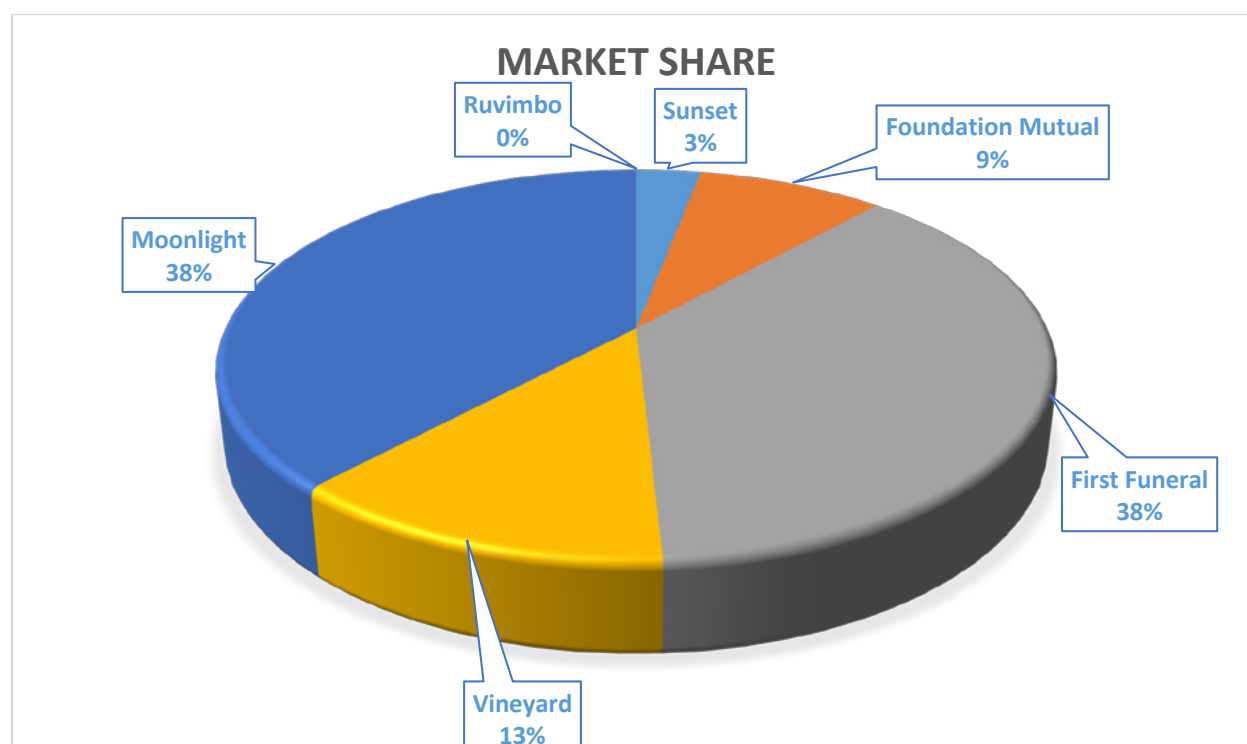
9 Liquidity

- 9.1 The Funeral Assurance sector reported an average current ratio of 112.23%. This is a favorable position indicating sufficient current assets to cover short-term contractual obligations and other current liabilities.
- 9.2 The current assets in the form of cash, insurance contract assets, and other current assets amounted to ZW\$11.8 billion as at 31 December 2023. The current liabilities amounted to ZW\$10.4 billion as at the same date.

10 Market Share

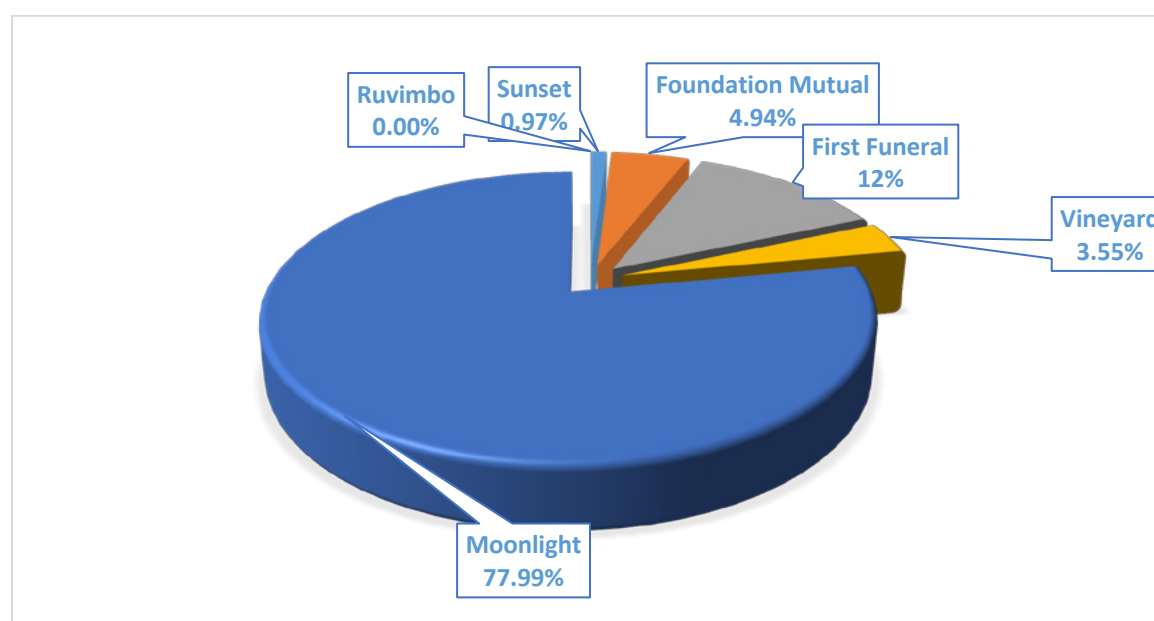
- 10.1 As of 31 December 2023, the Funeral Assurance sector exhibited high levels of market concentration, with Moonlight Funeral Assurance and First Funeral Assurance collectively accounting for 76% of total insurance revenue (38% each). The remaining four players shared residual 24% of the market.
- 10.2 The Commission views this high level of concentration, where two entities dominate over three quarters of the market, as a potential systemic risk. Should either of these dominant players face liquidity or solvency challenges, the impact on the broader funeral sector and the public trust in insurance would be significant. Furthermore, such dominance may limit competitive pricing and innovation, potentially disadvantaging policyholders.
- 10.3 To mitigate these risks and safeguard policyholder interest, the Commission has implemented the following interventions: enhanced surveillance, competitive rebalancing, and product governance.
- 10.4 The distribution of the market share in terms of consolidated Insurance Revenue for the six (6) Funeral Assurers is shown in Figure 3 below.

Figure 3: Market Share in Terms of Consolidated Insurance Revenue for the Period ended 31 December 2023



10.5 In terms of total assets, the Funeral Assurance sector was dominated by two (2) players, Moonlight and Foundation, with a total market of 81%. The remaining three (3) players constituted the remaining 19% as at 31 December 2023. This is illustrated in Figure 5 below.

Figure 4: Market Share in Terms of Assets as at 31 December 2023





Section E

REGULATORY DEVELOPMENTS

11 Regulatory Developments for the period ended 31 December 2023

11.1 Statutory Instruments and Circulars

The Commission issued 11 Circulars and 2 Statutory instruments to the Insurance Industry during the year 2023 as shown in Table 5 below.

Table 5: Statutory Instrument Gazetted and Circulars Issued in 2023

Statutory Instrument (S.I)	Date Gazetted	Purpose
S.I. 103 of 2023	09/06/2023	Insurance and Pensions Commission (Levy) Regulations, 2023 – New US\$-Indexed Levies.
S.I. 104 of 2023	09/06/2023	Insurance (Amendment) Regulations, 2023 (No. 26) – New US\$-Indexed Fees.
Circular	Date of Issue	Purpose
Circular 3 of 2023	15/02/2023	Request for information on registered agents.
Circular 7 of 2023	16/04/2023	Amendments to the Directive on Governance and Risk Management for Insurance Companies.
Circular 9 of 2023	09/03/2023	Quarterly returns additional reporting requirements – submission of a US\$ return, absolute ZW\$ return and a combination of the two returns denominated in ZW\$.
Circular 11 of 2023	16/03/2023	Guideline for Regulation of Offshore Investments.

Circular 12 of 2023	20/04/2023	Issuance of the Funeral Directive
Circular 13 of 2023	16/05/2023	IFRS 17 Quarterly Return Template.
Circular 17 of 2023	29/06/2023	Replacement of Circular 6 of 2016 on the Product Approval Framework and Premium Review Process.
Circular 18 of 2023	14/06/2023	Notification of Publication of the Insurance and Pensions (Levy) Regulations, 2023 and Insurance (Amendment) Regulations, 2023.
Circular 19 of 2023	23/06/2023	IFRS 17 Dry Run Financials as at 31 December 2022.
Circular 20 of 2023	27/06/2023	Separation of Pensions and Life Business.
Circular 26 of 2023	01/09/2023	Cyber Security and Data Protection Framework



Section F

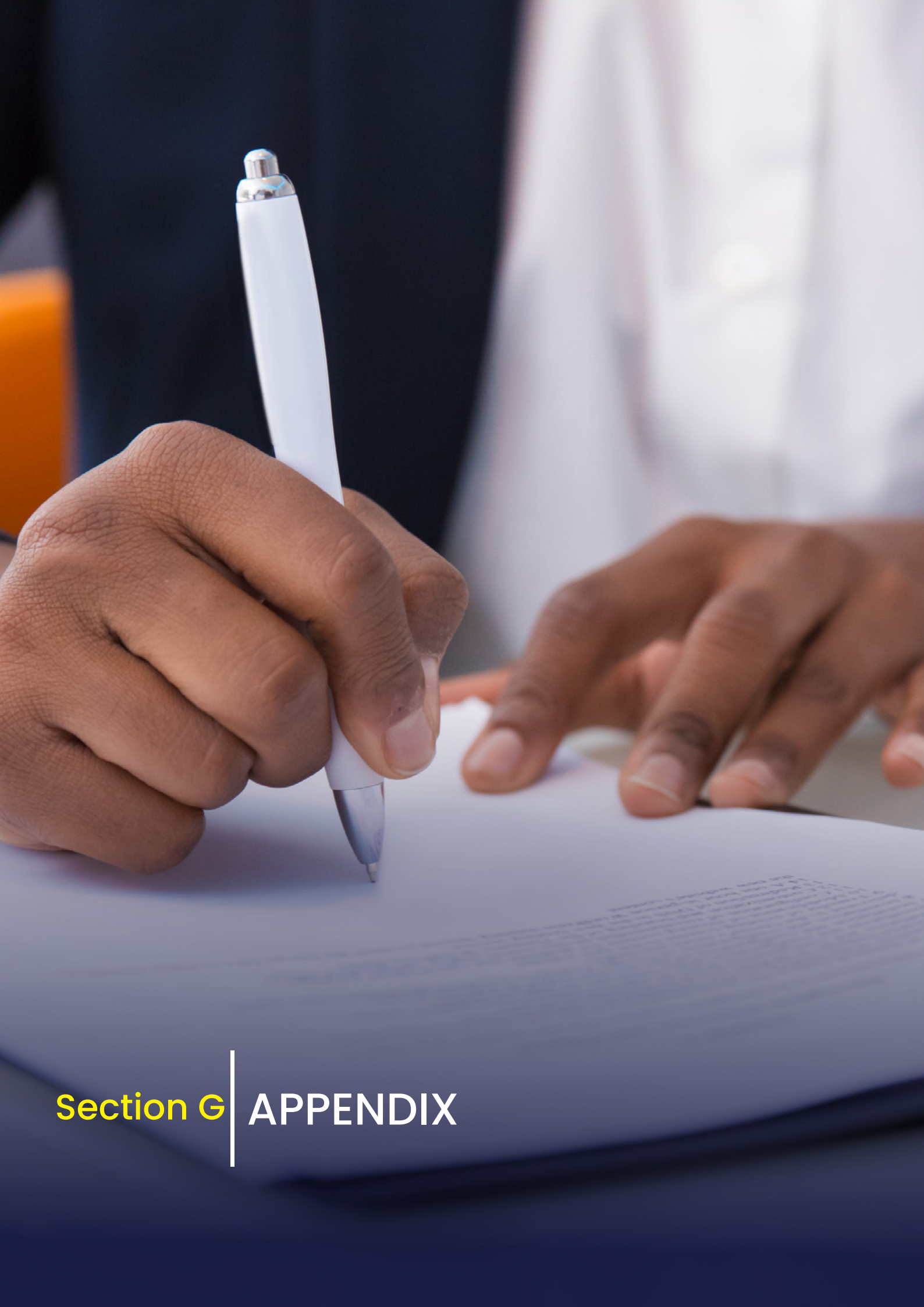
COMPLAINTS HANDLING AND CONCLUSION

12 Funeral Assurance Sector Complaints

- 12.1 For the year ended 31 December 2023, the Commission received eight (8) funeral assurance-related complaints. Seven (7) of the complaints were resolved within the year, and the remaining one was under consideration.
- 12.2 Three (3) of the complaints were due to delays in settlement, and five (5) were due to unsatisfactory service provided.

13 Conclusion

- 13.1 Funeral Assurance players must ensure adherence to all relevant laws and regulations, with particular focus on the impending US\$ indexed Minimum Capital Requirements, minimum shareholding requirements in line with SI 49 of 1989 as amended by SI 59 of 2005, and prescribed asset ratios.
- 13.2 The Commission also encourages sector players to continue providing value for money services that talk to the value proposition of the sector.
- 13.3 Funeral Assurers should put in place reinsurance arrangements as a risk management tool.
- 13.4 The Commission emphasizes the significance of prompt resolution of all genuine claims.
- 13.5 The funeral industry is still not fully compliant with the IFRS 17 standard, and the non-compliant entities are required to submit their returns in accordance with the new standard, which became effective on January 1, 2023.



Section G | APPENDIX

APPENDIX A1. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE YEAR ENDED 31 DEC 2023 - ZW\$ 000							
	Sunset	Foundation Mutual	First Funeral	Vineyard	Moonlight	Ruvimbo	Total
Net Written Premium	0.00	0.00	0.00	3,990,057.80	0.00	8,134.10	3,998,191.90
Insurance Revenue	502,762.34	1,459,219.36	6,315,592.83	2,153,849.53	6,407,372.10	1,382.01	16,840,178.17
Revenue from contracts measured under the PAA	502,762.34	0.00	0.00	0.00	0.00	0.00	502,762.34
Revenue from contracts measured under the GMM	0.00	1,459,219.36	6,315,592.83	2,153,849.53	6,407,372.10	1,382.01	16,337,415.83
Expected incurred claims	0.00	766,275.28	13,468.17	349,938.00	3,919,391.53	1,229.94	5,050,302.91
Change in risk adjustment for non financial risk	0.00	178,167.25	16,724.76	64,737.91	243,303.93	152.07	503,085.91
CSM recognised in P&L for the services provided	0.00	491,801.74	6,131,625.51	1,439,298.71	2,244,676.65	0.00	10,307,402.60
Insurance acquisition cashflows recovery	0.00	22,975.10	153,774.38	299,874.92	0.00	0.00	476,624.40
Revenue from contracts measured under the VFA	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Expected incurred claims	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Change in risk adjustment for non financial risk	0.00	0.00	0.00	0.00	0.00	0.00	0.00
CSM recognised in P&L for the services provided	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Insurance acquisition cashflows recovery	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Insurance service expenses from insurance contracts issued:	-92,333.25	-362,593.00	-11,181,800.95	-4,445,043.33	-3,467,220.56	-9,033.99	-19,558,025.08
Incurred claims	-65,059.66	-109,873.00	-2,342,810.73	-4,143,613.90	-1,218.91	-79.64	-6,662,655.84
Insurance contract expenses	-27,273.59	-229,745.00	-4,172,969.93	0.00	-726,211.11	-3,583.28	-5,159,782.91
Insurance contract acquisition cashflows	0.00	-22,975.00	-217,897.38	-299,874.92	0.00	0.00	-540,747.30
Adjustments to liabilities for incurred claims	0.00	0.00	0.00	0.00	0.00	-4,825.68	-4,825.68
Losses (and reversal of losses) on onerous insurance contracts	0.00	0.00	-4,448,122.92	-1,554.51	-2,739,790.53	-545.39	-7,190,013.35
Insurance service result before reinsurance	410,429.08	1,096,626.36	-4,866,208.13	-2,291,193.80	2,940,151.55	-7,651.98	-2,717,846.91
Allocation of reinsurance premiums (net of reinsurance commission)	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Amounts recoverable from reinsurers for incurred claims	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net income / (expense) from reinsurance contracts held	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Insurance service result	410,429.08	1,096,626.36	-4,866,208.13	-2,291,193.80	2,940,151.55	-7,651.98	-2,717,846.91
Interest received	38.82	-94,632.00	0.00	-11,005.24	0.00	0.00	-105,598.42
Quoted equities - fair value adjustments	0.00	1,709,133.00	0.00	0.00	0.00	0.00	1,709,133.00
Unquoted equities - fair value adjustments	0.00	0.00	0.00	0.00	0.00	0.00	0.00
NAV movements in group companies	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Dividend income	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Rental income	5,361.31	0.00	93,640.40	871,566.86	11,635.49	0.00	982,204.06
Net foreign exchange income / (expense)	0.00	0.00	0.00	-80,298.90	0.00	0.00	-80,298.90
Property fair value adjustments	0.00	0.00	0.00	0.00	0.00	1,945.69	1,945.69
Other Income	68,502.15	-5,684,259.00	0.00	270,288.01	4,921,763.15	0.02	-423,705.68
Total Investment Income	73,902.28	-4,069,758.00	93,640.40	1,050,550.73	4,933,398.64	1,945.71	2,083,679.76
Insurance finance income (expenses) for insurance contracts issued	0.00	0.00	949,703.06	0.00	-31,970,404.55	-3,661.89	-31,024,363.38
Reinsurance finance income (expenses) for reinsurance contracts held	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Net insurance financial result	0.00	0.00	949,703.06	0.00	-31,970,404.55	-3,661.89	-31,024,363.38
Net investment result	73,902.28	-4,069,758.00	1,043,343.46	1,050,550.73	-27,037,005.91	-1,716.18	-28,940,683.62
Administrative Expenses(indirectly linked to insurance service provision)	-332,387.30	-1,170,281.00	-2,319,793.40	624,907.70	-10,351,139.19	69.81	-13,548,623.38
Fair value adjustments (negative)	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Other Expenses	-252,162.53	0.00	0.00	-9,782.01	-119,913.38	52.98	-381,804.94
Total for other Expenditure	-584,549.83	-1,170,281.00	-2,319,793.40	615,125.69	-10,471,052.57	122.80	-13,930,428.31
Profit (Loss) before tax	-100,218.46	-4,143,412.64	-6,142,658.07	-625,517.38	-34,567,906.94	-9,245.36	-45,588,958.84
Taxation	0.00	-1,500.00	0.00	-199,511.01	0.00	0.00	-201,011.01
Profit (Loss) after tax	-100,218.46	-4,144,912.64	-6,142,658.07	-825,028.39	-34,567,906.94	-9,245.36	-45,789,969.85
Other Comprehensive Income for the year	0.00	10,008,081.00	0.00	0.00	0.00	0.00	10,008,081.00
Total Comprehensive Profit/(Loss) Attributable to Shareholders	-100,218.46	5,863,168.36	-6,142,658.07	-825,028.39	-34,567,906.94	-9,245.36	-35,781,888.85

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 DEC 2023 - ZW\$ 000							
	Sunset	Foundation Mutual	First Funeral	Vineyard	Moonlight	Ruvimbo	Total
Assets							
Non-Current Assets							
Intangible Assets	1,410.00	-	-	-	-	-	1,410.00
Property, Plant and Equipment	259,542.28	11,449,092.00	4,578,081.46	6,502,164.97	199,774,739.64	1,423.24	222,565,043.59
Investment Property	2,429,679.59	1,922,989.00	21,142,829.91	923,458.05	8,750,000.00	1,987.35	35,170,943.90
Investments: Quoted equities	-	-	4,690.73	139,864.45	-	-	144,555.18
Unquoted equities	-	-	-	-	-	-	-
Bonds	2.17	-	-	-	66,429.09	-	66,431.26
Deferred tax asset	-	-	-	-	-	-	-
Deferred acquisition costs Assets (excluding Asset for Insurance Acquisition Cash Flows, but including any DAC previously used to spread acquisition costs)	-	-	-	-	-	-	0
Insurance Contract Assets	-	-	-	-	873,677.29	-	873,677.29
Reinsurance Contract Held Assets	-	-	-	-	-	-	-
Other Non-Current Assets	-	-	-	46,963.40	-	-	46,963.40
Total	2,690,634.05	13,372,081.00	25,725,602.10	7,612,450.86	209,464,846.03	3,410.59	258,869,024.62
Current Assets							
Insurance Contract Assets	31,033.98	-	8,893,920.55	809,931.92	-	290.39	9,735,176.84
Reinsurance Contract Held Assets	-	-	-	-	-	-	-
Money market investments	-	-	40.34	-	-	-	40.34
Other Short Term Investments	-	-	-	-	-	-	-
Other receivables	-	149,766.00	251,079.59	1,323,764.52	7,931,180.16	71.57	9,655,861.83
Cash and Bank Balances	9,329.96	23,914.00	264,772.87	207,939.54	875,696.49	2.89	1,381,655.76
Other Current Assets	-	286,241.00	-	535.33	177,577.06	13.48	464,366.87
Total	40,363.94	459,921.00	9,409,813.36	2,342,171.30	8,984,453.71	378.33	21,237,101.64
Total Assets	2,730,997.99	13,832,002.00	35,135,415.46	9,954,622.16	218,449,299.73	3,788.92	280,106,126.26

Liabilities and Equity							
Current Liabilities							
Insurance Contract Liabilities:	-	6,340,740.00	19,282,314.69	4,265,163.70	-	-	29,888,218.39
Best Estimate Liability (BEL)	-	3,519,098.00	2,551,107.88	4,265,163.70	-	-	10,335,369.59
Risk Adjustment (RA)	-	155,218.00	2,488,034.61	-	-	-	2,643,252.61
Contractual Service Margin (CSM)	-	2,666,424.00	14,243,172.20	-	-	-	16,909,596.20
Reinsurance Contract Held Liabilities:	-	-	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-	-	-
Related party payables	-	660,944.00	-	-	-	820.43	661,764.43
Current provisions	-	-	-	-	1,928,622.90	-	1,928,622.90
Finance lease obligations	-	-	-	-	-	-	-
Bank Overdrafts	-	-	-	-	-	-	-
Payables Arising from Retrocession Arrangements	-	-	-	-	-	-	-
Other payables	144,048.28	-	156,175.63	1,551,208.49	10,357,013.95	29.03	12,208,475.37
Total Current Liabilities	144,048.28	7,001,684.00	19,438,490.32	5,816,372.19	12,285,636.85	849.45	44,687,081.09
Non-current liabilities							
Insurance Contract Liabilities:	-	-	-	-	35,895,790.24	-	35,895,790.24
Best Estimate Liability (BEL)	-	-	-	-	158,271,235.82	-	158,271,235.82
Risk Adjustment (RA)	-	-	-	-	109,735,485.98	-	109,735,485.98
Contractual Service Margin (CSM)	-	-	-	-	12,639,959.60	-	12,639,959.60
Reinsurance Contract Held Liabilities:	-	-	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-	-	-
Long Term Loans	-	-	-	-	-	9.00	9.00
Provision for investment contract liabilities	-	-	-	-	-	12.37	12.37
Deferred Tax liability	-	-	-	823,144.87	49,620,492.71	-	50,443,637.58
Other Liabilities	1,194.78	-	28,260.72	53,044.38	12,285,636.85	820.43	12,368,957.15
Total Non - Current Liabilities	1,194.78	-	28,260.72	876,189.25	26,010,339.33	841.79	26,916,825.87
Total Liabilities	145,243.06	7,001,684.00	19,466,751.03	6,692,561.44	38,295,976.18	1,691.25	71,603,906.96
Share Capital and Reserves							
Share Capital	-	-	411.44	-	1,500.07	0.37	1,911.88
Share Premium	-	-	1,610.00	-	-	-	1,610.00
Insurance finance reserve	-	-	-	25,608.66	-	9,933.23	15,675.43
Investment Reserve	-	-	-	-	-	-	-
Revaluation Reserve	2,690,246.28	-	21,762,445.23	4,112,697.77	151,403,029.15	1,358.76	179,969,777.19
Non Distributable Reserve	-	-	-	-	-	50.68	50.68
Retained Earnings Prior Years	-	4,272.89	967,149.64	46,855.82	-	-	6,824,854.86
Retained Earnings - Current Period	-	100,218.46	5,863,168.36	6,142,658.07	34,567,906.94	9,245.36	35,781,888.85
Minority Interest	-	-	-	-	-	-	-
Other	-	-	-	-	71,151,288.71	-	71,151,288.71
Shareholders' Equity	2,585,754.93	6,830,318.00	15,668,664.43	3,262,060.72	180,153,323.56	2,097.68	208,502,219.30
Total Equity and Liabilities	2,730,997.99	13,832,002.00	35,135,415.46	9,954,622.16	218,449,299.73	3,788.92	280,106,126.26

Appendix A3							
	Sunset	Foundation Mutual	First Funeral	Vineyard	Moonlight	Ruvimbo	Total
Insurance Revenue by Product - ZW\$ 000							
Term insurance	-	-	-	-	-	-	-
Endowment	-	-	-	-	-	-	-
Pure endowment	-	-	-	-	-	-	-
Whole life	-	-	-	-	-	-	-
Funeral	502,762.34	1,459,219.36	6,315,592.83	2,153,849.53	6,407,372.10	1,382.01	16,840,178.17
GLA	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
Total	502,762.34	1,459,219.36	6,315,592.83	2,153,849.53	6,407,372.10	1,382.01	16,840,178.17

Appendix A4							
Insurance Revenue by Class - ZW\$ Million							
Individual Life Business	Sunset	Foundation Mutual	First Funeral	Vineyard	Moonlight	Ruvimbo	Total
New Business	-	322,294.17	900.00	43,076.99	429,531.53	143.63	795,946.32
Recurring Business	458,236.48	1,136,925.19	2,209,557.49	280,000.44	5,977,840.58	1,238.38	10,063,798.55
Sub Total	458,236.48	1,459,219.36	2,210,457.49	323,077.43	6,407,372.10	1,382.01	10,859,744.87
Group Business							
New Business	-	-	-	193,846.46	-	-	193,846.46
Recurring Business	44,525.86	-	4,105,135.34	1,636,925.64	-	-	5,786,586.84
Sub Total	44,525.86	-	4,105,135.34	1,830,772.10	-	-	5,980,433.29
Total	502,762.34	1,459,219.36	6,315,592.83	2,153,849.53	6,407,372.10	1,382.01	16,840,178.17



FUNERAL ASSURANCE SECTOR REPORT

FOR THE QUARTER ENDED 31 DECEMBER 2023

Protecting The Interests Of Insurance And Pension Consumers



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